

Evaluating Your Employee Benefits

Employer-provided benefits are a significant part of any compensation package and can have a profound effect on your finances. Employers often provide a wide range of benefits, including the following:

- Retirement plans, such as the 401(k)
- Section 125 cafeteria plans
- Group health, life, dental, and disability insurance plans
- Tuition reimbursement
- Flexible-spending accounts
- Stock option plans
- Bonus plans
- Vacation, holiday, and sick-leave benefits

All of these benefits, as well as others not mentioned, have a monetary value that you should consider when evaluating your salary or comparing job offers. Some benefits, such as 401(k) and cafeteria plans (which have nothing to do with food), also have tax benefits that can save you additional money by reducing your taxes.

Insurance Coverage

Most people with health insurance are covered under a group plan offered by their employer or their spouse's employer. Although employers are charging employees more as prices continue to increase dramatically each year, employer-provided health insurance is still a bargain. If you aren't offered coverage through your employer you can purchase an individual policy, but these can be expensive—especially as you get older, or if you have a family. Whether you're married or single, you need health insurance to protect yourself against financial disaster in the event of a serious illness or accident.

If you're fortunate enough to have employer-provided coverage, calculate its monetary value by first finding out what the company pays for your medical, dental, life, and long- and short-term disability on a monthly